

Chapter Two

Meaning, Characteristics and Rationales

2.1 The Meaning of Public Enterprise

Why do we need for a definition while it seems obvious that PE means "state-owned" or "government-owned" enterprise?

There are at least three reasons that justify the need for having conceptual and contextual definition.

First, we do require a definition for **statistical purposes**.

- Researchers engaged in studying the PE sector have had difficulties to delimit the frontiers of the sector due to absence of universally accepted definition.
- For example, a study made by AAPAM (1987:5) indicated that there were no exact and up-to-date figures of PEs in Africa due to lack of clear taxonomy of the variety of public organizations. E.g. former Ethiopia's Military Factories.

- This need emerges out of the lack of consensus among African countries as to what constitutes a PE.
- In fact, what may be considered as a PE in one country may not be regarded so in another country

Secondly, we do require a definition **for client identification purpose:** institutions such as the World Bank, and the International Center for PEs in Developing Countries needed to know which entities are actually PEs they support in each country.

- Because those international organizations are the ones providing training, consultancy, loans, and technical assistance services for the sector and provide sponsorship for conducting researches on the same.
- Hence, they need to know their client institutions before they give actual support.
- **Thirdly**, we do require a definition for **conceptual purposes**; i.e. to understand the objectives and goals of PEs distinct from other sectors.

- Conceptual understanding helps for analyzing the difficulties of and opportunities available for PEs and the implications to their organizational style, strategy, and interface.
- These three justifications will lead us to overview the following conceptual, contextual, and operational definitions provided by different authors or institutions.

- Broadly, PE may include a wide spectrum of institutions ranging from semi-government and/or regulatory agencies to industrial and commercial undertakings.
- George Gant (1979:104) described PEs as: “gov’t org’s established for the purpose of engaging in defined commercial or economic activities, although are occasionally established for non-business purposes (e.g. scientific research/technological institutions), to neutralize from bureaucratic constraints”.

We often find Various terminologies, which are interchangeably used to denote PEs. The terminologies contribute to the confusion of their identification. These terms include:

- Public corporations,
- Public undertakings,
- Public industries,
- State-owned enterprises,
- Government enterprises,
- Government companies,
- Nationalized industries (used in UK),
- Parastatal organizations (used in African countries).
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- Another definition given by the expert group of the Commonwealth Secretariat (1981:vi) reads as:

“Any commercial, financial, industrial, agricultural, infrastructural, or promotional undertaking owned by a public authority either wholly or in a majority shareholding, which is engaged in the sale of goods and services and whose operations are capable of being recorded in balance sheets, and profit and loss accounts” - financial statements.

Such undertakings may have diverse legal and corporate forms or status, such as:

- *Departmental undertaking,*
- *Public corporation, or statutory agency established by acts of parliament, or*
- *Joint-stock companies registered under the company law” [of a country]. Chapter Three*

The foregoing definition excludes government administrative or regulatory (civil service) agencies, NGOs/CSOs, religious institutions, and private enterprises.

- However, there are different views, which label some PEs as bureaucratic institutions that are created with a corporate status to perform specialized regulatory public functions. E.g. NBE
- A more practical definition given by Friedman, quoted in Mathur (1999:17), reads as follow:

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- *“PE is an institution operating a service of economic or social character on behalf of the gov’t, but as an independent legal entity and equipped with independent and separate fund of its own, largely autonomous in its mgmt., yet responsible for and subject to some directions by the gov’t and/or parliament...”*
- Such engagement of gov’t in commercial type activities distinguish PEs from the traditional governmental functions.

- AAPAM (1987:5-6) also provided a simple and straightforward definition stated as:
- "PE refers to an organization which is either wholly owned by the state or in which the state holds a majority share, whose activities are of business nature and provides services or produces tradable goods, and having distinct form of mgmt."
- Roosevelt described PE in the most concise and informative manner as: "an institution clothed with the power of the state, but possessed of the initiative and flexibility of a private enterprise".

2.2 Characteristics of Public Enterprises

- Primarily, PEs manifest direct involvement of gov't in the economic sphere and assume special responsibilities to the gov't.
- They also represent additional roles to the gov't by providing guidelines and creating supportive environment to the private sector.
- The roles of PEs are highly influenced by several factors like ideology, politics, history, level of economic development, and so forth.

- For instance, in socialist countries, PEs may have a characteristic of standing against the private sector - abolition or major reduction of the private sector.
- Previously, gov'ts of socialist countries had embarked upon nationalization of private enterprises and public ownership of major areas of production.
- On the other hand, in countries using mixed economic policy, PEs concentrate in the traditional fields of public utilities and in the **"commanding heights"** of the economy.

- Generally, the core idea of PE suggests an organization, which has two dimensions:
- The public dimension, and
- The enterprise dimension.
- If one of these dimensions is missing, the entity cannot be called a "public enterprise".
- The implications of each dimension are discussed in the following manner.

(I) The Public Dimension

- There are four basic elements in this dimension; i.e. ***public ownership, public purpose, public control, and public accountability.***

(a) Public Ownership

The assumption here is that ownership vests in a public authority, which could be central government, state government, or municipal government.

- While there is no ambiguity when 100% ownership belongs to a public authority, an enterprise could also be classified as 'public' if the public authority owns the majority share (51 percent or above).

(b) Public Purpose:

While establishing a PE, the government has in mind the attainment of some public policy goals - fulfilling or achieving public interest.

- It is important to note that the 'public purpose' should not be a blurry one - the nature and content of public goals which a PE is supposed to achieve should be clearly known.
- The net benefits generated from PEs are directed toward fulfilling public needs, not to enrich private group of individuals.
- However, it is clear that, as members of the general public, private groups and individuals will have their own legitimate shares of benefits from PEs.

(C) Public Control:

- Gov't as the owner is likely to exercise managerial control over the enterprise it created or over which it has the majority share.
- The size of ownership determines the degree of gov't control it exercises. Control is exercised in proportion to the size of ownership.
- In any case, gov't rules and laws are applied in controlling the enterprise; e.g. audit laws.
- However, the aspects and scope of control, must be free from ambiguity.

- The specific areas for which the enterprise will require gov't approval and an authorized body that will exercise control on behalf of the gov't must be clearly stated.

(D) Public Accountability:

A PE has to be accountable to a legitimate organ representing the public. The effectiveness of accountability depends on the **precision of goals, agreed upon performance criteria, and clarity about the agency to which the enterprise reports.**

- In principle, all proceedings and records of activities of the enterprise must be available for public (government) scrutiny when demanded.
- In practice as well, it is customary that performance and activity reports of PEs are regularly submitted to the government.
 - ✓ Performance audit,
 - ✓ Financial audit, and
 - ✓ Compliance/legal audit.

(II) The Enterprise Dimension

The enterprise dimension implies the notion of a business firm with specific attributes; i.e.

- 1.The org. is engaged in the production, distribution, and provision of goods & services.
- 2.The goods and services so produced are marketed at optimum, some times at market, price.
- 3.The revenues so generated from sales activities are adequate at least to cover costs.
- 4.The activity is based on the idea of investment and return.

Besides these characteristics, the enterprise dimension also comprises three core concepts, namely: **financial viability**, **cost-price equation**, and **commercial accounting**

(a) Financial Viability:

- This implies conscious effort on the part of the enterprise to operate with the **principle of entrepreneurship** to generate net revenue.
- To do so, the org. must see itself in continuous innovation instead of being complacent with routine operations and regular level of returns.
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- It must constantly explore opportunities to maximize revenue and assure its own growth.
- However, this may not always happen in practice due to several intermediary factors in its activities.
- Besides the various factors that have direct effects in limiting their profitability, net revenue is sought only if it doesn't:
 - ✓ Encourage powerful competitive threats,
 - ✓ Provoke labor unrest,
 - ✓ Cause consumer protest, and
 - ✓ Arouse public antipathy against the enterprise.

- Unlike private enterprises which solely aspire and operate with the spirit of net revenue maximization, PEs often aim at achieving "optimum level of return".

(b) The cost-price equation:

- The enterprise concept goes beyond financial viability though concerned with the way financial viability is achieved.
- Financial viability is realized from sales activities where the sales values are determined on the basis of a principle that **prices bear to costs**.

- Yet, extreme care is needed to avoid tagging of disproportionate prices over costs of production as it may cause challenges from consumers.

(c) Commercial Accounting

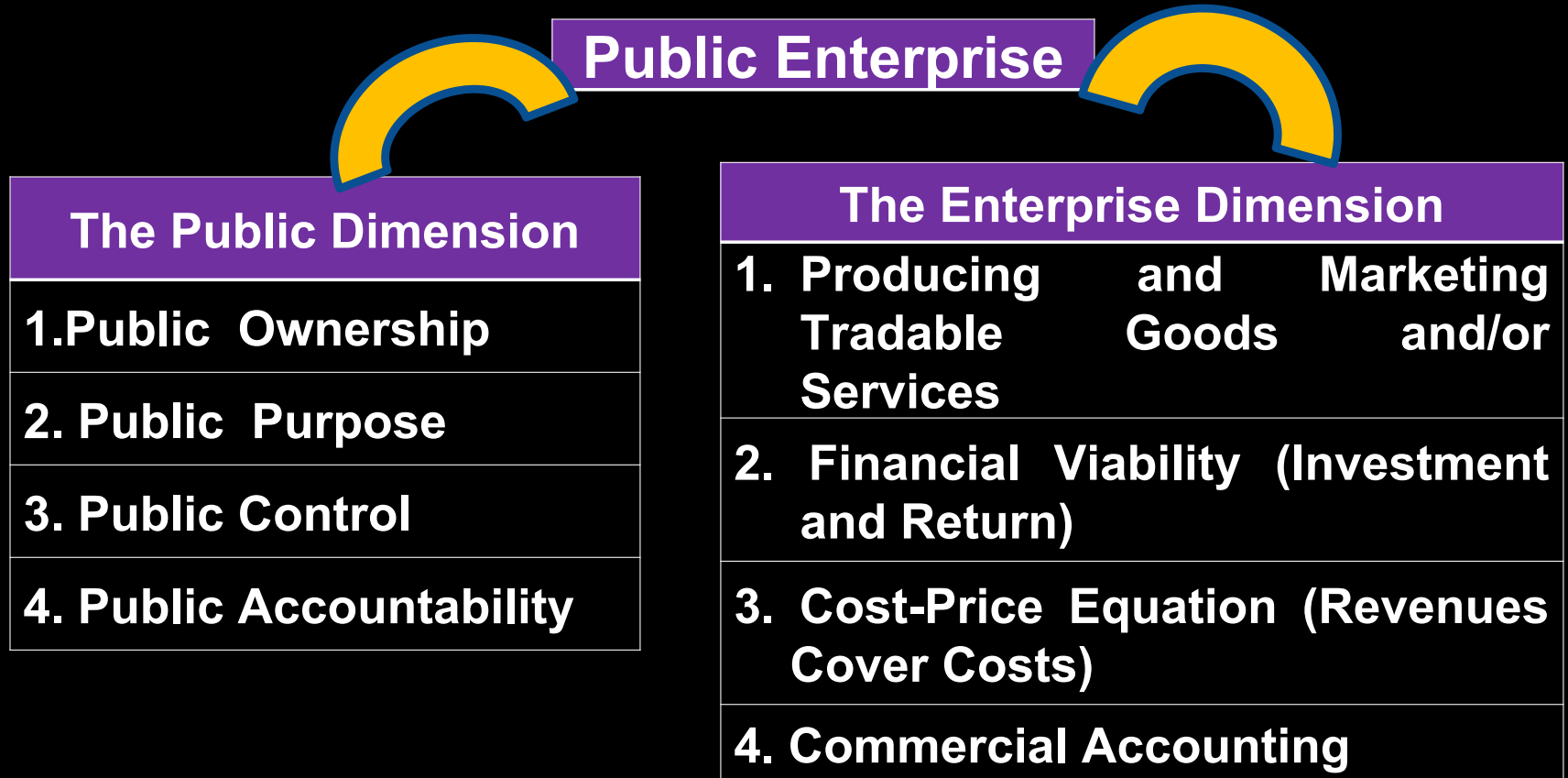
- A PE must regularly maintain a set of inventory and commercial accounts that indicate its material and financial status.
- Two major accounting documents are needed; i.e. **balance sheet and financial statement.**

- Balance sheet shows the **assets and liabilities** of the enterprise at a given time.
- Financial statement is a **profit and/or loss account** that shows the inflow of incomes and the outflow of expenses, which would result in surplus or deficit at a given or defined period.

In summary, the public dimension differentiates PEs from private enterprises, while the enterprise dimension differentiates PEs from other gov't agencies.

- In other words, if there is no public dimension, there seems little rationale for creating PEs, and if there is no enterprise dimension it would be meaningless to attach the word "enterprise" to its name.
- Once again, the most informative description of Roosevelt becomes relevant here; i.e. "a PE is an institution clothed with the power of the gov't but possessed of the initiative and flexibility of a private enterprise".

Figure-1 Public Enterprise Model



2.3 Reasons for Public Ownership

- The principal reason for the emergence of the PE sector is the government's interest to play active role in the national economy and to protect public interest.
- Franklin D. Roosevelt, shortly known as FDR, learnt from the 1929 GED and the failure of the private sector, and realized the political bankruptcy of laissez-faire policies.
- FDR then accepted the Keynesian economics model; i.e. public welfare economics.

- The principal Keynesian economics calls for gov'ts active role to protect public welfare based on analytical findings, which show the insufficiency of the private sector and the institutional gap.
- PEs are therefore institutional policy responses to supplement the private sector and achieve long-term dev't
- In other words, the main reason for creating PEs is the assumption that they are better instruments for promoting dev't.
- Nevertheless, it would be difficult to generalize this way since the motives may vary from country to country.

- For example, some socialist countries sought new role of the state as an agent of change, toward social transformation and economic dev't.
- Some others sought just to correct temporary weaknesses of the private sector.
- Barber (1983) summarized the justifications for using the PE sector as a tool of planned dev't strategy under three core factors:
 - *Economic justification,*
 - *Social justification, and*
 - *Political/ideological justification.*

(A) Economic Reasons:

- Many developing countries were inspired to own PEs to achieve rapid economic dev't and to make frontal attack on poverty (Mathur, 1999:10).
- This desire of economic dev't and poverty reduction has been supported by practical and imaginative/theoretical reasons, such as:

(i) The "**commanding heights**" argument postulates that certain key industries that have strategic importance, especially those processing natural resources (e.g. precious stones and fuel) are so vital to the national economy.

Hence, gov'ts often decide to intervene in national priority and strategic sectors that have decisive influence on the structure of the national economy.

Leaving such key sectors in private hands might jeopardize the economic system.

Therefore, the "commanding heights" idea has been a major justification for public sector investment in many developing countries.

(ii) **Controlling monopoly power:** monopoly firms are believed to exert undesirable pressure upon the society (like prices escalation on consumers); thus, the state must neutralize monopoly effects.

So, public ownership is the ultimate form of controlling monopoly power.

(iii) Protection of weak industries:

International market competition could have negative effects, like closure of infant industries.

Therefore, PEs could protect weak private businesses from harsh competitions and salvage them from dissolution.

(B) Social Reasons:

PEs are also established to accomplish social objectives based on social cost-benefit analysis; not merely on economic cost-benefit analysis criterion like what the PS does.

The social motive of PEs has been explained by factors, like:

(i) Unwillingness of the PS to engage in the production of certain goods and service that are not financially rewarding, or that require long term gestation period; yet are socially desirable in the view of the state.

E.g. a state railway company may operate "uneconomically", but must continue to exist because closure would impose many other "social costs" on the community, such as:

- Shortage of transportation, reduction of per capita productivity, and associated cost escalation.
- Burdens upon other state agencies and individuals such as road congestion, traffic accident, etc.

(ii) **Securing public welfare:** Assuring the wellbeing of citizens by owning basic infrastructures and services such as road transport, railways, electricity, water, waste mgmt. etc. that are the conventional functions of the state even in developed countries.

- **(iii) Job Creation:** Many gov'ts of developing countries created PEs for employment generation and income distribution purposes.
- Employment is one aspect of the equity measure of gov't besides other direct forms of income distribution schemes, like accessibility to and price subsidy for basic goods and services.

(C) Political/ideological Reasons:

- Socialist ideology is born out of the “failure” of the capitalist system to offer equal benefits; hence called for state intervention.

The 1929 Great Economic Depression had seriously exposed the deficiencies of the capitalist system; the notion of free play of the market forces.

Keynesian economics had therefore provided sound theoretical basis for state intervention in generating employment.

The political or ideological justifications are evident, *inter alia*, in the following cases:

(i) Strategic importance: some sectors, such as communications, steel, atomic energy, defense goods etc. are so central to the power of the state; hence, gov't cannot afford allowing them to be in complete private hands.

(ii) Socialist party policy: socialist parties favor the communization of wealth by expanding public ownership.

However, realizing the communization desire and correcting the setbacks of capitalism has not been easy for socialist countries.

- Instead, the failure of socialist economies in almost all countries and the efficiency of the private economy have led many commentators to question the merits of PEs.
- “While socialism had worked well at the initial stage, it gradually failed in economic terms because of its inability to adjust to the new world of the consumer society” (Galbraith, 1990).
- This entails that the ideological motive of public ownership turned out to be faddish and became an outdated idea by western scholars.

- In contrast, some writers argue that, public ownership is still valid and justifiable for developed countries as well irrespective of ideological differences.
- Although PEs may not assume the **commanding heights** role in the era of globalization and liberalization, their contribution to the national economies cannot be underestimated.
- Apparently, many countries such as China, Korea and Taiwan still rely on public ownership, but allowed the private sector to develop in parallel.

- ZTE of the China's telecom company; Samsung, Goldstar, Daewoo, Hyundai of South Korea, BBC of UK, etc. are good examples of PEs in developed countries.
- **Summary**
- Developing countries suffer from acute lack of capital, entrepreneurial skills, and regional imbalances.
- They therefore had to increase productivity and strive towards bringing equilibrium and just social order.

- The seriousness of the socio-economic problems of these countries make state intervention desirable.
- Hence, the state became the major actor in the promotion of industrial enterprises through public ownership and control.
- Generally, public ownership has been justified by the need for filling the gaps which the private sector alone could not fulfill and lessening the negative effects resulted from externalities.

- Besides, certain services require gov't control in order to avoid monopolistic tendencies and ensure acceptable levels of services, affordable level of prices, and optimal level of public wellbeing.
- Equitable distribution of income has been assumed to depend on public ownership of core means of production, distribution and exchange undertakings.
- This however depends on the capacity of PEs to conduct businesses effectively and efficiently.
- Political expediency is the other objective, but less openly articulated relative to economic and social objectives.

Categories of Goods

Characteristics	Rival	Non-Rival
Excludable	<u>Private Goods</u> ♦ Car ♦ Food	<u>Quasi-Public Goods</u> ♦ Cable TV ♦ Uncrowded Highway
Non-Excludable	<u>Open Access</u> ♦ Ocean Fish ♦ Communal grazing land	<u>Public Goods</u> ♦ National Defense ♦ Street Light